

Chapter 4

Mittal Dhandho

Bordering Pakistan is Rajasthan, the most colorful state of India, and Marwar is a small district within the state. The Marwaris are regarded by many as being the very best practitioners of the art of Dhandho. Their amazing Dhandho endeavors, in many cases, leave the Patels in the dust.

In the 2005 *Forbes* ranking of the wealthiest humans on the planet, Bill Gates and Warren Buffett took their usual top two spots. But nipping at their heels at number three is a Marwari entrepreneur, Lakshmi Mittal.^{[1](#)} Mittal, from a standing start, with virtually nothing 30 years ago, has a net worth of over \$20 billion today. He began his Dhandho journey at about the same time as Bill Gates. As we know, Bill invested his energies in an industry that offers among the highest returns on invested capital. He got a few engineers together, created MS-DOS and Microsoft Word, and then sold hundreds of millions of copies.

Let's investigate the amazing economics at work. A single copy of Microsoft Office is sent to Dell to load onto Dell PCs. Each time Dell loads Office on any machine, it sends Redmond, Washington, a few hundred dollars. There are hundreds of millions of copies made all over the planet—yielding billions upon billions every year for Microsoft. The return on invested capital is out of sight and the gross margin approaches 100 percent.

What is amazing about Lakshmi Mittal's Dhandho journey is that he invested all his energies and tiny capital base in an industry with terrible economics—steel mills. Unlike Microsoft, in a steel mill you have no control over the selling price of the finished product, and you have no control over the cost of raw materials. Steel mills are very capital-intensive creatures. If that wasn't a toxic-enough cocktail already, the workforce is usually unionized. The steel industry has been one of the worst places to